

STATE OF FLORIDA
DIVISION OF ADMINISTRATIVE HEARINGS

UNISYS CORPORATION,	)	
	)	
Petitioner,	)	
	)	
vs.	)	CASE NO. 88-2942BID
	)	
DEPARTMENT OF HEALTH AND	)	
REHABILITATIVE SERVICES,	)	
	)	
Respondent.	)	
_____	)	

RECOMMENDED ORDER

Pursuant to notice, final hearing in the above-styled case was held from June 27 through July 1, 1988, in Tallahassee, Florida, before Robert E. Meale, Hearing Officer of the Division of Administrative Hearings.

The representatives of the parties were as follows:

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For Respondent: Fred W. Baggett, Esquire
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BACKGROUND

On May 20, 1988, Respondent issued Request for Proposal 88-74-BC, which Petitioner received the same day. The Request for Proposal describes the functional and technical requirements and scope of work involved in the implementation of a computer-based information system to support public assistance and child support enforcement programs.

On May 25, 1988, Petitioner filed a notice of intent to protest various provisions of the Request for Proposal. On June 14, 1988, Petitioner filed a Corrected Formal Protest and Petition for Formal Administrative Hearing, which corrected an earlier protest filed on June 6, 1988.

At the final hearing, three provisions of the Request for Proposals were litigated: 1) the prohibition against proposals incorporating the Unisys A-15 mainframe computer in Respondent's Jacksonville Data Center; 2) the sufficiency of the 26 months allowed for statewide implementation of the computer-based system; and 3) the sufficiency of the time allotted to each task from project initiation through statewide implementation.

Petitioner presented four witnesses. Respondent presented six witnesses. Petitioner offered into evidence ten exhibits. Respondent offered into evidence six exhibits. All exhibits were admitted into evidence, except for Petitioner's Exhibits Numbers 2 and 3. Upon review of Petitioner's Exhibit 7, any conditions attached to its admission were deemed unnecessary and thus removed.

The transcript was filed on July 5, 1988. Petitioner and Respondent each filed a proposed recommended order. Treatment accorded the proposed findings of fact is detailed in the Appendix.

FINDINGS OF FACT

I. GENERAL BACKGROUND INFORMATION

A. Procurement Process

1. On May 20, 1988, Respondent issued Request for Proposal 88-74-BC (RFP). The RFP, which is several hundreds of pages in length, requests fixed-price proposals for the transfer and modification of computer-based human services and child support system(s), followed by the statewide implementation, operation, and turnover of the new system, which is designated as FLORIDA. The RFP describes, among other things, various functional and technical requirements and the scope of work, which includes 15 tasks from project initiation through statewide implementation.

2. On Wednesday, May 25, 1988, Petitioner timely filed with Respondent a written notice of protest of the RFP.

3. On June 14, 1988, Petitioner filed a Corrected Formal Protest and Petition for Formal Administrative Hearing, which followed the written protest that was filed on June 6, 1988.

4. The anticipated procurement timetable, which is set forth in Section 2.1.1 of the RFP, begins with the issuance of the RFP on May 20. The next event is the filing of letters of intent to bid, which were due on or before May 27, 1988. The third event, which was set for May 31, 1988, was the offerors' conference, which was followed by the deadline on June 3, 1988, for offerors to submit written questions. All of these events took place as scheduled.

5. Upon receipt of Petitioner's written protest on June 6, Respondent stopped the procurement process. The next two events were the responses to the offerors' questions, which responses were due on or before June 10, 1988, and the receipt of proposals, which were due on or before August 22, 1988. Following several deadlines regarding the evaluation process, the last two procurement events were the selection of the contractor, which was due on November 23, 1988, and, following receipt of all necessary approvals from federal and state officials, the signing of the contract, which was due on December 30, 1988. None of these events has yet taken place. Respondent may amend the procurement timetable at any time, according to Section 2.1.1 of the RFP.

B. Programs

6. FLORIDA will initially support five of the nine public assistance programs and the Child Support Enforcement Program that Respondent administers (collectively hereinafter referred to as "human services programs"). FLORIDA must be designed to support additional programs in the future. The following paragraphs describe the six programs initially to be served by FLORIDA.

7. Aid to Families with Dependent Children (AFDC) provides financial assistance, consisting of state and federal funds, to families with dependent children who lack the support of one or both parents. The Family Support Administration of the U.S. Department of Health and Human Services administers the program at the federal level. In April, 1987, Respondent handled about 104,000 AFDC cases involving 292,000 persons, 13,000 applications, and 7,000 file closings. For fiscal year ending 1990, when implementation of FLORIDA is scheduled to begin, Respondent projects that it will be administering about 112,000 AFDC cases involving about 315,000 persons.

8. Food Stamps is a need-based program. The U.S. Department of Agriculture, Food and Nutrition Services (FNS), administers the relevant portions of this program at the federal level. Federal funds pay for the coupons and one-half of the administrative costs. In April, 1987, Respondent handled about 237,000 Food Stamp cases involving 618,000 persons and 27,000 applications. For fiscal year ending 1990, Respondent projects that it will be administering about 232,000 Food Stamp cases involving about 49,000 persons.

9. Title XIX Medicaid (Medicaid) provides all coverage mandated by the Social Security Act plus coverage to two optional groups. Federal, state, and county funds pay for the program, which is administered at the federal level by the Health Care Financing Administration of the U.S. Department of Health and Human Services (together with the Family Support Administration, hereinafter referred to as "HHS"). Excluding the two optional groups, in April, 1987, Respondent handled about 63,000 persons in the Medicaid program and 11,000 applications. By December, 1987, these numbers had risen to about 84,000 persons and 14,000 applications.

10. Two smaller public assistance programs are the Refugee and Entrant Assistance Program (RAP), which presently provides financial assistance in about 650 cases involving about 1,170 persons, and Employment Services for Public Assistance Recipients (Project Independence), which provides vocational assistance and public-sector employment to qualified individuals.

11. The last program to be incorporated into FLORIDA during its initial development and implementation is the Child Support Enforcement Program (CSE). CSE provides individuals who are owed or may be owed child support such services as locating the obligor parent, establishing paternity, establishing a support obligation, and monitoring and enforcing established support obligations. Respondent is responsible for the statewide administration of CSE, but each of Florida's 67 counties maintains a Domestic Relations Depository (DRD) into which the obligor parent must actually pay the child support monies. On September 30, 1987, Respondent was handling about 518,000 CSE cases. During fiscal year ending 1987, nearly \$106 million was collected by Florida under this program, which represented a 68 percent increase from the prior year. In 1990, Respondent anticipates that it will be handling about 896,000 CSE cases.

12. Appendix A, Schedule A.4-121 of the RFP provides the following breakdown, as of October, 1987, of Respondent's positions allocated statewide to the indicated programs based on a field survey conducted in January and February, 1988: AFDC-- 2,086 workers, clerks, and Supervisors; Food Stamps-- 1,817 workers, clerks, and supervisors; Medicaid--1,822 workers, clerks, and supervisors; Project Independence (apparently combined with another program) -- 423 workers, clerks, and supervisors; RAP--16 workers, clerks, and supervisors; and CSE (not including DRD personnel)--1,374 attorneys, investigators, supervisors, and clerks

13. The above-described 1988 survey at Appendix A, Schedule A.5-2, projected that, by fiscal year ending 1990, Respondent would be administering about 134,000 AFDC cases with about 2,000 workers and supervisors, 250,000 Food Stamp cases with about 1,300 workers and supervisors, and 211,000 Medicaid cases with about 3,800 workers and supervisors.

14. The caseload of these six human services programs is among the highest of all states in the nation.

C. Computer-Based Systems

15. During the past ten years, Respondent has developed 14 automated and six manual information systems to support the public assistance programs for which it is responsible. The automated systems are not integrated, resulting in considerable duplication of effort with respect to collecting and storing data. These stand-alone systems have impeded communications and interfered with Respondent's ability to track recipients of benefits from more than one program. Such system inefficiencies have contributed to unnecessary administrative expenses and, at the same time, a high payment error rate. Florida's AFDC payment error rate, for instance, is one of the five worst in the United States.

16. Sharing the costs of such administrative inefficiencies, Congress responded in 1980 with legislation offering states enhanced federal funding if they developed automated systems to support various human services programs. In general, as to each of these programs, the legislation provides certain requirements for the certification of a state's computer- based system. Certification is a prerequisite for the state to receive extra federal funds for its development and implementation expenditures.

17. The two major sources of enhanced federal funding for the development and implementation of FLORIDA are HHS and FNS. For example, HHS funds 90 percent of covered costs allocable to the AFDC system, and FNS funds 75 percent of covered costs allocable to the Food Stamp system.

18. Each funding agency has promulgated regulations setting forth the requirements for certification. These regulations include specific requirements as to management information systems and the functionalities that such systems must support. The regulations for all of the public assistance programs share the same objectives: reduce recipient fraud and increase administrative efficiency.

19. The Florida legislature in 1983 authorized Respondent to undertake the automation of certain human services programs in order to take advantage of increased federal funding. However, federal agencies withheld approval of later, separate efforts by Respondent to develop and implement unintegrated automated information systems for AFDC, CSE, and Medicaid.

20. During the first six months of 1987, Respondent prepared a draft of a request for proposal for FLORIDA, but the draft had been withdrawn by June, 1987.

21. In September, 1987, Respondent hired Viann Hardy as Director of its Office of Management Systems and Services. Her primary responsibility at this time is the FLORIDA procurement. As FLORIDA Project Director, Ms. Hardy reports directly to a management steering committee, of which Gregory Coler, who is Secretary of Respondent, serves as chair. From Secretary Coler down, the top management of Respondent have assigned top priority to the FLORIDA project and are committed to its speedy implementation. In addition, Respondent has assembled a dedicated and talented in-house professional staff to work on the FLORIDA project. These factors will expedite the implementation of FLORIDA.

22. About September, 1987, Respondent submitted to the relevant federal agencies an advanced planning document and request for proposal for the employment of a contractor to assist in the development of an advanced planning document and request for proposal for FLORIDA.

23. After receiving federal approval, Respondent hired Maximus, Inc. on or about December 1, 1987. Maximus, Inc. is a consulting firm that works primarily with governmental entities in the areas of systems planning and systems evaluation. The primary responsibilities of Maximus, Inc. were to deliver an advanced planning document, request for proposal, and a strategic plan, which are all required for certification of automated information systems.

24. The final draft of the advanced planning document for FLORIDA was dated February, 1988 (APD). The APD, which is several hundreds of pages in length, is comparable in scope to the RFP. The APD allows the contractor 26 months from the date that the contract is signed to complete over a dozen tasks, ending with statewide implementation of FLORIDA.

25. By letter dated March 18, 1988, FNS offered conditional approval of the APD. Referring to the APD's 33-month timeline, which includes a preliminary seven months that have elapsed prior to the commencement of the 26-month RFP timeline, FNS found the schedule to be "somewhat ambitious." Elsewhere, FNS referred to "what appears to be an overly ambitious" implementation schedule.

26. The FNS letter also required that, in the interest of free and open competition, the APD requirement of distributed architecture, which is discussed below, should be replaced in the RFP by a statement of preference for a distributed system.

27. On the issue of the transferability of systems, which is also discussed below, the FNS letter stated that it was "unaware of any product in the market place that incorporates integration of all program services requested in the . . . APD." The letter warned Respondent that it will encounter programming code in other states ranging from exceptional to extremely poor and merging codes of such varying qualities "may add new problems to system development not anticipated."

28. Lastly, the FNS letter informed Respondent that FNS and the other federal agencies had jointly agreed to require a "new milestone unique to FLORIDA" in which final joint approval from Respondent and the federal agencies would be required before the contractor could begin statewide implementation of FLORIDA.

29. By letter dated March 28, 1988, the State of Florida Information Resource Commission commented favorably on the "draft RFP," which apparently had the same timeline as that contained in the APD. This letter referred to the timeline as "overly ambitious" and "very ambitious."

30. By letter dated April 21, 1988, Respondent responded to the FNS letter of March 18. Respondent justified the ambitious timeline by the "rigid implementation schedule" and "liquidated damages," which together "will insure timeliness."

31. Respondent's April 21 letter also justified the costs of projected contract-monitoring services by noting: "FLORIDA represents the largest undertaking of its kind. We know of no other large state which has proposed a system so extensive and so all-encompassing as FLORIDA." Noting the concern expressed by some federal officials with an evaluation point scheme awarding 80 percent of available points to technical merit and 20 percent of available points to cost, Respondent suggested a 70/30 split in lieu of the 60/40 split recommended by the federal officials.

32. By letter dated June 24, 1988, HHS gave its approval of the APD, conditioned expressly upon Respondent's assurance that "no equipment now owned by the State will be available for use by the FLORIDA system when it becomes operational."

33. Based on the APD and RFP, all necessary state and federal approvals have been obtained for the procurement process to proceed with enhanced federal funding for those costs otherwise eligible for such enhanced funding. Federal funding has been extended at this time through the earlier of the contract award date or December 31, 1988. Federal funding for the substantial costs thereafter is subject to federal approval of the proposal that Respondent selects. Even after approval, federal funding may be reduced or lost for untimely implementation of FLORIDA.

D. The FLORIDA System

34. FLORIDA must be fully integrated. This means that all of the six original human services programs will be on the same computer-based system and data can be shared among the programs.

35. No state has ever obtained federal certification for a human services system containing all of the programs and functionality to be incorporated into FLORIDA. Kansas has an integrated computer-based system encompassing the same number of programs, but it has not yet been implemented statewide and it has not been federally certified. Kansas also is not a distributed system. Vermont has an integrated computer-based system involving AFDC, Food Stamps, and CSE and, although the record is not clear, evidently is certified or certifiable because it appears to be eligible for transfer to Florida. However, the Vermont system lacks Medicaid, is centralized, and handles a much smaller caseload. Texas has integrated all of the FLORIDA programs except CSE, but it has not yet reached statewide implementation.

36. FLORIDA must be on-line. This enables a user to enter data at a remote terminal for processing and, in a matter of seconds, obtain the results back at the terminal. Many but not all state human services systems offer on-line access in real time.

37. FLORIDA will probably involve distributed processing, which, as a result of the FNS mandate, is now a preference rather than a requirement of the RFP. A distributed system means that processing functions are located closer to the source, at a level appropriate to their intended application, rather than exclusively at a central processing location. Varying types of distributed systems exist, ranging from the use of all microcomputers without any mainframe to a mainframe with distributed nodes.

38. Distributed architecture is increasingly used by automated human services systems. At present, however, the only states with highly distributed integrated systems are Texas and Washington, and neither of them has CSE. Like Texas, Washington apparently has not been implemented statewide.

39. FLORIDA requires the transfer of one or more computer-based systems from other states. The federal agencies favor transferring existing systems as an effective risk-containment strategy. Such transfers should save substantial time in design when compared to systems that are developed from scratch. Section A of Chapter I of the APD notes that system development, as opposed to transfer, "can take years rather than months." The preface to Section 4 of the RFP "instruct[s]" contractors to "identify existing systems that meet federal certification requirements and are proposed for transfer to . . . FLORIDA." Section 1.1 of the RFP states that systems will be considered for transfer "if they have completed testing prior to the Systems Demonstration requirement," which ends under Section 2.1.1 on October 14, 1988.

40. Section 5.1.1 of the RFP states that, to date, "no comparable system transfer has been made in a state with Florida's caseload." There is presently no system that can be transferred to FLORIDA without major modifications. Not surprisingly, no one can offer an informed opinion as to the extent of the required modifications to the design and programming coding of an unknown system or systems. However, Section 3.6 of the RFP expressly assumes as a "basic premise" to the RFP that

a significant body of high quality
human services system development
has taken place in recent years,
[and] Florida intends to take advantage
of that activity by transferring
system components currently operating
effectively elsewhere in order to
develop the integrated, on-line
FLORIDA system.

41. In view of the above-described facts, FLORIDA is the most advanced, ambitious system of its kind in the country. Section 5.1.1 of the RFP states: "[Respondent] recognizes that the transfer of system(s) components and the implementation of FLORIDA represents the most aggressive endeavor undertaken to date in the area of social services administration." Section A of Appendix H to the RFP states that Respondent recognizes "the complexity of system transfer and development" and that the evaluation of, among other things, systems and modifications is a "complex undertaking." The complexity of FLORIDA is evidenced by its project development costs, which are estimated to be \$75 million in Section G of Chapter I of the APD.

42. The goals of FLORIDA are to: 1) improve the integrity of the eligibility determination; 2) minimize payment error rates; 3) increase the efficiency of caseworkers; and 4) assist program management and control in

evaluating the performance of programs and the employees administering the programs. Respondent projects savings of \$68 million in the first year of operation of FLORIDA. The expeditious implementation of FLORIDA is justified by the importance of attaining these goals and savings as soon as possible.

II. STANDING

43. Petitioner is the product of a 1986 merger between Burroughs Corporation and Sperry Corporation. Petitioner is in the business of manufacturing, marketing, and supporting data processing components for information systems. Since the early 1970's, Petitioner has been the primary supplier to Respondent of data processing equipment.

44. For the purpose of developing a proposal in response to the RFP and, if selected by Respondent, performing the work, Unisys has entered into a joint venture with Systemhouse, Inc. Systemhouse, Inc. is a systems integration firm that designs and implements large data processing systems. Systemhouse, Inc. has had substantial experience in the design, transfer, and implementation of computer-based human services systems for states, provinces, and other entities in the United States and Canada. In 1984, Systemhouse, Inc. performed a feasibility study for Respondent with respect to the implementation in Florida of computer-based human services systems.

45. Section 2.1.21 of the RFP provides:

Any adversely affected party, including any actual or proposed bidder or proposer, who disputes the reasonableness, necessity, or competitiveness of the terms, conditions, specifications or any other provision of the or [RFP], who otherwise disputes the legality of any part or all of the [RFP]

must timely file a written protect.

46. The joint venture of Petitioner and Systemhouse, Inc. have expended significant sums of money to date in the preparatory work that necessarily must precede not only the proposal, but the decision whether it is feasible to make a proposal to an RFP of this magnitude. Such effort is expected by Respondent, whose witnesses testified that work by the contractor is required by the RFP to be performed before the submission of the proposal.

47. Petitioner would be adversely affected by deficiencies in the RFP of the type alleged to exist.

III. UTILIZATION OF EXISTING UNISYS A-1

48. Section 5.2.2 of the RFP prohibits a proposal from using existing equipment.

49. In September, 1986, Petitioner sold Respondent a large computer mainframe known as an A-15. The A-15 was installed in late 1986 in Respondent's Jacksonville Data Center.

50. The A-15 supports three major programs: an information system that provides automated tracking of recipients of Respondent's services, a child support enforcement system, and a protective services system that tracks

incidents involving the abuse or neglect of children or adults. The last system, which was added recently, is one of the largest of its kind in the United States. Respondent intends to add new systems to the A-15, including vital statistics involving juvenile justice, a senior citizens' assistance system, and electronic mail functions.

51. The capacity of a computer mainframe such as the A-15 is measured by its utilization of processors, input/output subsystem, and memory.

52. Memory, which resides in the computer or in an auxiliary device, contains data and programs for use by the processor, which takes the data and performs functions with them. The input/output subsystem connects the central processing units to various peripheral devices, such as disk drives, printers, and tape drives. The input/output function is involved in storing data in the memory and retrieving data from the memory.

53. Architectural limitations inherent in the A-15 limit the number of available paths and channels and therefore the rate at which data can be exchanged between the central processors and peripherals. The six pairs of paths on the A-15 generate an input/output throughput rate of 24 million bytes per second.

54. Some of the input/output paths are carrying more data than others. Although it is unclear whether a rebalancing of the load would solve the present connectivity problems, which in turn have slowed down the pace of work performed by the A-15, the input/output capacity of the A-15 is at least being approached, if it has not been reached already. The primary solutions for the input/output capacity problem are to reconfigure the hardware of the A-15 or upgrade the A-15 to an A-17. Petitioner introduced the A-17 in March, 1988, as an alternative to customers that were exhausting the input/output capacity of their A-15's. The A-17 offers 14 paths and can generate an input/output throughput rate of 112 million bytes per second.

55. As of June, 1988, at least 51 percent of the processing capacity of the A-15 was being utilized during working hours. In February, 1987, only 28 percent of the processing capacity of the A-15 was utilized. At least 60 percent of the processing capacity of the A-15 will be utilized in three years, assuming that all of the programs presently on the A-15 and to be incorporated into FLORIDA have already been removed from the A-15. These programs presently constitute about 19 percent of the processing capacity of A-15.

56. No more than 60 percent-65 percent of the processing capacity of a mainframe such as the A-15 should be utilized because on-line user demands will occasionally spike to 80 percent-85 percent. At such high rates of utilization, the response time of the computer is slowed considerably, and generally a processor should not be operated for more than a few minutes with utilization over 80 percent. In May, 1988, peak utilization of the A-15 processors reached about 75 percent. Once the child abuse, juvenile justice vital statistics, and electronic mail become fully operational, peak processor use will reach at least 85. In anticipation of this development, Respondent has directed that processor-intensive, non-critical work be excluded from normal working hours. Respondent reasonably anticipates that the A-15 will have to be upgraded, due to insufficient processor capacity.

57. At present, only about 80 percent of the memory of the A-15 is being utilized. Memory capacity is not a problem with the A-15.

58. The RFP incorporates substantial financial disincentives for untimely performance by the contractor. The contractor must post a \$25 million performance bond within 30 days after the execution of the contract. Numerous provisions impose daily liquidated damages upon the contractor for failing to satisfy certain quantifiable performance standards. In the event that inadequacies in FLORIDA or its untimely implementation or certification result in the loss of all or part of enhanced federal funding available for the project, the contractor is liable for the difference between the maximum federal funding potentially available for a project of this type and the amount of federal funding actually received. However, Section 7.37 of the RFP provides that the contractor will not be liable for excess costs to the state if the failure to perform "arises out of causes beyond the control and without the fault or negligence of the contractor."

59. The RFP does not contemplate that the contractor will work in a vacuum. To the contrary, the RFP requires considerable interaction between Respondent and the contractor. Many of the contractor's tasks are in fact dependent upon the involvement and active cooperation of Respondent. Several of the most important of these tasks involve the detailed design of FLORIDA's systems, training of Respondent's employees, and conversion of data to FLORIDA from the present systems. Tasks nominally assigned to the contractor for which substantial damages are due in the event of untimely performance are in fact incapable of completion without the active assistance of Respondent's top management and field level employees.

60. By preventing the contractor from utilizing the A-15 in its proposal, Respondent increases the accountability of the contractor by isolating the contractor's activities from active systems supporting non-FLORIDA programs.

61. Respondent purchased the A-15 using 80 percent state funds. By excluding the A-15 from the equipment that a contractor may use in making its proposal, Respondent thereby maximizes the ratio of federal funds to state funds that will be used to purchase the FLORIDA hardware.

62. HHS and FNS ordered Respondent to exclude existing equipment, such as the A-15, in order to maximize the competitive environment for prospective offerors and thus to reduce the cost of FLORIDA. Other requirements, such as the preference for distributed architecture and 60/40 split between technical and cost points, were imposed by the federal agencies, even over Respondent's resistance. Given Respondent's evident reliance upon enhanced federal funding to pay for the FLORIDA procurement, it would be unreasonable to require Respondent to ignore the federal mandate and jeopardize the extra funding and perhaps the project itself.

63. The current and anticipated use of the A-15 for non-FLORIDA programs has reached the capacity of the processor and exceeded the present input/output subsystem. It would be unreasonable to require Respondent to consider proposals incorporating the A-15 into a computer-based system of the size and complexity of FLORIDA, especially when Respondent would have to determine whether the proposed hardware configuration simultaneously solved its present problems.

64. The prohibition against the use of the A-15 enhances the competitiveness of the project insofar as it removes a cost and possibly time advantage that Petitioner would enjoy without the prohibition. The prohibition invites greater innovation in design by encouraging the submission of proposals by a larger number of responsible offerors. Such design innovations may reasonably be anticipated to offset the \$7.5 million value of the A-15, which,

more importantly, is not even available for use due to the programs that it has been assigned to support. In addition, any savings must be evaluated from Florida's point of view, so that the loss of enhanced federal funding outweighs any monies that could have been saved even if the A-15 were available.

65. For the reasons set forth above, Respondent has failed to demonstrate that the A-15 prohibition is unreasonable, unnecessary, or uncompetitive.

IV. SUFFICIENCY OF TIME TO PERFORM TASKS 1-15

A. Introduction

66. The RFP identifies 15 tasks to be performed by the contractor from project initiation through statewide implementation. Section 6.2 of the RFP sets forth timeframes within which each of these tasks should be performed, but permits the contractor to vary the timeframes as long as statewide implementation is completed by the end of the 26th month following the date that the contract is signed.

67. Each task contains various subtasks and requires that the contractor provide Respondent with certain "deliverables."

68. A "deliverable" is a document or piece of application software whose delivery signals the completion of a task by the contractor.

69. Paragraph 6.3 of the RFP provides that no task is considered complete until all required deliverables have been approved by Respondent. Paragraph 6.3 B. of the RFP requires that the contractor provide Respondent with at least ten workdays per deliverable in its workplan for Respondent to complete its review and document its findings.

70. Section 3.5 of the RFP requires that the "project implementation approach must be highly structured" due to the size of Florida, the large number of counties, the high caseload, and the distributed processing architecture. The purpose of such structure is to spread evenly the workload throughout the duration of the project.

71. Section 5.10 of the RFP notifies prospective offerors that Respondent "has recently made the decision to utilize STRADIS, a development and maintenance documentation tool." Each proposal must therefore contain an explanation of how the offeror would document the required deliverables in conformance with STRADIS documentation formats. Respondent decided to the use of STRADIS following the preparation of the APD, which omits any mention of STRADIS.

72. STRADIS, which stands for Structured Analysis Design and Implementation of Information Systems, is one of several commercially available structured methodologies for the design and implementation of computer-based information systems. A structured methodology first breaks down the job of developing an information system into various steps such as researching, designing, programming code, testing, conversion, and implementation. A structured methodology then sequences the tasks that it has identified. STRADIS assists more in identifying tasks and the order in which they should occur than in projecting the time that it will take to complete such tasks.

73. STRADIS was not used to establish the 26-month timeline nor to identify which tasks could or should be performed concurrently by the contractor

and which could not. Mr. William Kuecks, a national expert in STRADIS, was hired by Respondent for the FLORIDA project at the time of the release of the RFP.

74. Maximus, Inc. did not use its structured methodology, MAXTRAC, in the identification of the tasks or deliverables set forth in the RFP or in the establishment of the 26-month time frame.

75. The major role of STRADIS in the FLORIDA project is to facilitate systems maintenance and transferability to other states. Systems maintenance and transferability are eased by the STRADIS requirements that the contractor deliver detailed documentation at various stages of design and implementation. Such documentation renders the systems plan more accessible to a larger group of persons. Like other structured methodologies, STRADIS is a quality-assurance tool and not a timesaving device.

76. To the contrary, the required utilization of STRADIS will cost time. Section 8.5 of the RFP requires each proposal to include workplans that "should consider the time and staff effort necessary to incorporate STRADIS . . . into the FLORIDA project." The use of STRADIS prevents the contractor from taking shortcuts. STRADIS, like other structured methodologies, requires, at each stage, owner approval of each task and deliverable that has been identified and documented. The use of any structured methodology is intended to save time only insofar as it requires an orderly, logical procedure for the development of an information system. Such a requirement prevents rework or, when rework is necessary, simplifies its completion through the identification of the interdependency of tasks, which makes it possible to determine which may be performed concurrently and which may not.

77. A contractor required to use STRADIS will expend time by correlating the tasks and deliverables in the RFP to those generated by STRADIS. The two sets of tasks and deliverables do not correspond. Even more time may be required for the contractor that typically uses a different structured methodology to manage such projects. Systemhouse, Inc., for instance, uses SILC, which stands for System Integration Life Cycle. STLC is a Systemhouse structured methodology more oriented than the generic STRADIS toward the integration of information systems.

78. The required use of STRADIS also will not be time efficient because the STRADIS-required deliverables are oriented toward the development of an information system. In the case of a transfer, a majority of the required documentation is redundant. STRADIS devotes little attention to the modification, as opposed to development, of information systems. Only four of its 88 activities are devoted to modification.

B. Task 1

79. Task 1 is Project Initiation. Section 6.4.1. of the RFP describes the major subtasks as follows: assemble the contractor's initial project team in Tallahassee; conduct meetings between the contractor's team and Respondent's staff to discuss procedures, work objectives, and early tasks; and prepare an updated project plan.

80. The RFP provides one month for the completion of Task 1, which starts at the beginning of the first month after the contract is signed (First Month).

81. The three deliverables of Task 1 are: 1) the assembling of the contractor's project team in Tallahassee; 2) the preparation of an updated project plan; and 3) the identification of procedures for project management, control, and reporting, including plans for the use of STRADIS.

82. Testifying for Petitioner, Mr. Steven Reid estimated that one month is required to complete Task 1, even with overtime.

83. Mr. Reid has been employed by Systemhouse, Inc. for over 10 years. He has participated directly in the development and implementation of eight human services computer-based information systems. These include the Alaska system for AFDC and Food Stamps, which was the first "purpose-built" (that is, built from scratch, rather than upgraded from an existing system) HHS-certified system in the United States. Mr. Reid was also responsible for the transfer of the Alaska system to Arizona, which, although requiring no new programs, required one major modification with respect to the addition of some large-state functionality. Mr. Reid then served as a consultant to Kansas during the transfer of the Arizona system with major modifications for the addition of CSE, Medicaid, and certain state-only programs. Mr. Reid, who works exclusively with human services systems, is the most experienced project manager in Systemhouse's national branch, which works with governmental agencies. He is also responsible for the implementation of the South Carolina human services system, which is a transfer of an AFDC and Food Stamps system. At the time of the hearing, Mr. Reid had only been able to spend a couple of days reviewing the RFP, which was sufficient for him to conduct a risk analysis of the 26-month timeframe. However, he normally requires about ten days to analyze a request for proposal in such detail as to develop his own schedule. He had the time neither to do this nor to consult with other personnel from Systemhouse and Petitioner, as he usually does, to develop a detailed schedule of tasks.

84. Testifying for Respondent, Karen Morris estimated that three days are sufficient for Task 1, presumably excluding overtime.

85. Ms. Morris is a systems program administrator for Respondent. She heads the technical team of systems programmers and analysts participating in the FLORIDA project. Her previous experience includes the transfer and modification of programming code from the Department of Labor in Topeka, Kansas, to Florida to support an employment services program. While working for Respondent, she has previously been assigned to assist a contractor with the installation of the Medicaid Management Information System, which is one of the systems with which FLORIDA must interface. She has been working on the FLORIDA project since late 1986. She has participated actively in the preparation of nearly the entire RFP and has worked closely with Maximus, Inc. since its first involvement with FLORIDA.

86. Section 8.4 of the RFP requires that each proposal contain a Project Staffing section. Section 8.4.2 requires that the proposal include a staff loading chart showing, by task and month, the position and name of the person assigned and the number of days that the person will work on the project that month.

87. Section 8.5 of the RFP requires that each proposal contain a "detailed discussion of the bidder's approach to project management . . . and a detailed work plan for the system development and implementation process." This section requires that the proposed workplan show how STRADIS will be incorporated into the project.

88. Section 8.5 of the RFP requires that the proposal address ten reporting and managing items, as well as a "work plan and schedule that addresses all activities required to accomplish the Scope of Work from project initiation through full statewide implementation" plus federal certification. The proposal dealing with the workplan and schedule must break down all tasks into subtasks and activities to be accomplished in not more than two staff weeks of effort per subcategory. Each task and subtask must reflect the estimated amounts of staff-days required of personnel of Respondent and the contractor. The proposal must chart all tasks and subtasks to show start and end dates, interrelationships, and critical paths. The proposal must also provide a schedule for all deliverables.

89. In view of the considerable detail required of the proposal with respect to the three deliverables contained in Task 1, the allocation of one month is not unreasonable.

90. It would be unreasonable to allocate less than one month to Task 1. First, the contractor will need a few days to assemble its project team in Tallahassee. The contract is due to be signed on Friday, December 30. It is unlikely that the contractor can even communicate to its project team the contract signing until January 2, given the intervening holiday. On the other hand, the possibility of slippage in obtaining federal approval is high during the holiday season, especially because Respondent has given FNS eight days less for approval than it requested in its March 18 letter. Respondent has also assumed that the contractor will sign the contract immediately rather than at the end of the 14 days allowed for signing. It would therefore be unreasonable to expect the contractor to preassemble its project team in Tallahassee in anticipation of, first, federal approval and, second, approval on December 30. Section 7.6 of the RFP states: "In any event, the contractor shall not begin work until state and federal approvals are received and the formal contract executed."

91. The necessary meetings between members of the contractor's project team and Respondent's staff will take several days. Regardless of the detail contained in the contractor's proposal, some time must be allocated to the preparation of an updated project plan. If Respondent believed that the detail in the proposal obviated the necessity of an updated project plan, Respondent presumably would have deleted that requirement from Task 1 in order to expedite implementation. The absence of a Project Initiation task and updated project plan from the APD and their later inclusion in the RFP suggest that Respondent recognized the importance of these items. The contractor and Respondent will likely need some time to work out some of the variances in tasks and deliverables among the RFP, STRADIS, and possibly the contractor's structured methodology. Most importantly, Respondent has reserved ten workdays, or two weeks, within which to review each deliverable and document its findings. It is unreasonable to assume that Respondent will take less time because of the unimportance of the deliverable or its inclusion in the proposal. If either were the case, Respondent would not have elevated the document or activity to the status of a deliverable.

C. Task 2

92. Task 2 is Validate Functional Requirements. Section 6.4.2 of the RFP describes the significant contractor tasks as follows: familiarize the contractor team with Florida's existing programs, policies, and information systems; review in detail, in order-to "refine and finalize," the FLORIDA requirements "summarized" in the RFP; and review in detail all program

requirements, which shall include reviews with user representatives from all potential user categories.

93. The RFP provides one month for the completion of Task 2, which starts at the beginning of the First Month and runs concurrently with Task 1.

94. The two deliverables of Task 2 are: 1) the Requirements Specification Document and 2) the Detailed Implementation Plan.

95. Section B of Chapter IX of the APD states that the purposes of this task are to ensure that the contractor has a "complete and thorough" understanding of all FLORIDA requirements and that these requirements are still valid in light of changing federal and state requirements.

96. Section C of Chapter VIII of the APD identifies several state responsibilities in connection with Task 2. They include clarifying documentation of FLORIDA requirements, clarifying program policies, and developing program policies where appropriate.

97. Section C of Chapter VIII of the APD identifies several contractor responsibilities in connection with Task 2. These include reviewing Florida's "unique" system requirements.

98. Mr. Reid testified that it should take three weeks, including overtime, to conduct the interviews and workshops necessary to validate the detailed program requirements with the various-user groups. He testified that, considering the remaining work, Task 2 cannot be completed within one month without sacrificing quality.

99. Ms. Morris testified that Task 2 can "easily" be done within one month.

100. Task 2 requires a series of meetings between the contractor's project team and Respondent's staff to review and refine the requirements of the RFP to ensure that they share a common understanding. In addition to interviews with Respondent's top management, the contractor's staff must also conduct workshops with Respondent's eligibility workers.

101. Workshops must also be conducted with line staff workers drawn from all agencies with which FLORIDA must interface. These interviews promise to consume a significant amount of time. Appendix I of the RFP identifies 32 interfaces, of which, according to Section 4.7 of the RFP, five must be, if possible, on-line. These are the Florida Medicaid Management Information System, Respondent's Employment Training Services (which apparently will not require on-line access or even automated access from the perspective of the Employment Training Services), Overpayment/Overissuance, Fraud, and Recoupment Receivable System (which will not require on-line access), Client Information System, and State Comptroller's Office where automated interface is obviously required between FLORIDA and the State Automated Management Accounting System in order to track the payment of benefits. The DRD's, which are a critical user group within the CSE, require significant on-line access in order to permit local DRD representatives to post child support payments. Such payments are made in all cases to one of 67 DRD's serving each of Florida's counties. The systems used by the 67 DRD's range from manual to automated, and the interviews necessary review the program requirements of these users will be time-consuming.

102. There will be considerable overlap between the members of the contractor's project team who conduct the introductory interviews in Task 1 and those who conduct the interviews with Respondent's in-house users in Task 2. It is unreasonable to assume that the contractor's employees who conducted the introductory meetings would not be the same persons interviewing Respondent's in-house users in order to take advantage of the relationships already established at this critical early phase of work.

103. The importance of the Requirements Specification Document is evidenced by the fact that no subsequent task overlaps it. Concurrency is a common characteristic of these subsequent tasks insofar as each task from Task 3 through Task 11 overlaps at least one and, in almost every case, several of the other tasks. However, the Requirements Specification Document refines the RFP requirements. Once approved, the Requirements Specification Document becomes a critical document upon which the contractor relies heavily in subsequent design and programming work.

104. On the other hand, Mr. Reid testified that Systemhouse, Inc. usually assumes the risk of beginning the next task before getting final approval on the Requirements Specification Document.

105. Section 8 of the RFP does not require that the proposal recite in much detail the functional requirements that are being validated in Task 2. The apparent reason is that such information is uniquely known to Respondent, which has supplied much of this information in the RFP. Therefore, the critical purpose of this task is to ensure that the contractor fully understands the programs and functions that Respondent desires in FLORIDA.

106. Section 4 of the RFP, which consists of 99 single-spaced pages, describes the functional requirements of FLORIDA. Many of these functional requirements are typical of those of other states; nearly all of the programs to be supported by FLORIDA are programs which, by their very nature, do not vary much as they are administered from state to state. The trend toward large-scaled automation in human services systems has contributed toward a standardization among the states of administrative policies in human services programs.

107. But Florida's "unique" system requirements have added important functions. Among these special requirements are numerous and detailed report-generating capabilities, which are intended to assist caseworkers in their handling of files and management in their evaluation of the efficiency of programs and caseworkers. Section 4.5.11 of the RFP states:

The management information reporting and control functions of FLORIDA are critical capabilities that have received inadequate attention in other integrated eligibility systems. Most integrated eligibility systems focus so exclusively on the transaction processing functions that too little attention is given to the types of information the agency needs to manage its programs. The FLORIDA system shall provide [Respondent] with a state-of-the-art reporting and management control capability. All FLORIDA reports must have the capability to be produced by

various groupings of data, such as worker, unit, office, service area, state, county, and district.

Section 4.5.11 B. describes the research assistance that FLORIDA must be able to provide in "projecting trends in caseload, forecasting expenditures, and identifying key target areas of groups incurring a change." For instance, FLORIDA must be able to display, by language, reported income, error-prone group, and months-receiving-benefits, the number of recipients under each public assistance program and run simulations reflecting the effects of policy changes.

108. Tasks 1 and 2 may reasonably be concurrent. Mr. Reid testified that the Task 2 workshops could overlap the Task 1 introductory meetings by a couple of hours a day and still have the same people from the contractor handle both assignments. Moreover, The contractor's interviewers should be available at least during the latter two weeks of the First Month while Respondent is reviewing the Task 1 deliverables. It therefore appears that the workshops required in Task 2 can be completed within the first month of the project.

109. The Requirements Specification Document, which is the result of the workshops, must follow the workshops. The Requirements Specification Document constitutes a refinement of the RFP requirements based upon what is learned in the workshops. However, the contractor may begin the preparation of the Requirements Specification Document before all of the workshops have been completed.

110. The Requirements Specification Document and Respondent's review and approval can be completed within two weeks after the completion of the workshops, which should be completed at the end of the first month. Task 2 should therefore reasonably be expected to be completed two weeks into the third month of the project. However, based upon Mr. Reid's candid testimony, it is not unreasonable to require that the additional 0 weeks necessary for Task 2 overlap the beginning of Task 3.

111. The second deliverable of Task 2, the Detailed Implementation Plan, is also due in Task 5. The later requirement is not a refinement or update of the Detailed Implementation Plan; the RFP inexplicably requires the same document twice. The Detailed Implementation Plan is erroneously required in Task 2 because Task 5 is devoted to Implementation and Conversion Planning. Implementation planning, as a task, is not separately identified in the APD, which required that the contractor finalize its detailed implementation plan in what is now Task 2 "to clearly define tasks . . . and completion dates." The APD also lacked a counterpart to what is now Task 1, which, as noted above, requires the delivery of an updated project plan and set of STRADIS procedures. The requirement of a Detailed Implementation Plan in Task 2 is therefore an obsolete carry over from the APD insofar as the critical parts of the document have been broken up and reassigned as deliverables in Tasks 5 and, to a lesser extent, 1.

D. Task 3

112. Task 3 is Identify System Changes. Section 6.4.2 of the RFP requires the contractor to conduct a screen-by-screen, file-by-file, report-by-report comparison of the transfer system(s) to FLORIDA's system requirements. The transfer system(s) must be loaded in the systems demonstration machine, and the contractor's staff must conduct a detailed "walk-through" with user and technical representatives of Respondent so that users can identify how they want to interact with the system. System changes to the transferred system(s) must

be carefully reviewed "to assess their in-pact on processing requirements and efficiency" due to the high volumes of data to be processed by FLORIDA. For those modules of the system to be developed rather than transferred, the contractor must provide a detailed description of the functionality and general design.

113. Section B of Chapter IX of the APD states that the process of the identification of system design changes

will be valuable for two reasons. First, we need to identify all of the required system changes and further demonstrate to ourselves that the proposed system will meet our needs. Secondly, this process was valuable as a training device that will allow our project team to become familiar with the intricacies and details of the proposed system.

114. The RFP provides for three months for the completion of Task 3, which starts at the beginning of the Second Month and runs concurrently with the first month of Task 4.

115. The deliverable of Task 3 is the Change Definition Document, which must offer a description of major functions and an overview of the system flow as it interacts with users. The document must address system design from the user and technical perspectives.

116. Mr. Reid testified that the three months allotted to complete Task 3 was acceptable, but that the one month overlap with Task 4 was a problem. In Mr. Reid's view, either the concurrency should be eliminated or one month should be added to Task 3.

117. Mr. Reid testified that, in the case of the application entry system, for example, the contractor's analysts and Respondent's eligibility workers would have to examine about 100 screens. The job could be completed quickly if 100 differently analysts with 100 different eligibility workers examined these screens' simultaneously. To avoid inconsistency among proposed changes, however, the screens must be studied by the same people.

118. Mr. Reid testified that the systems analysts who perform the screen reviews in Task 3 must also do the Detailed System Design in Task 4. Therefore, if Tasks 3 and 4 ran concurrently over three months, the systems analysts would be removed from their Task 3 assignments before they were done.

119. Ms. Morris testified that Task 3 could be completed within one month. She testified that the requirements of the proposal leave for Task 3 only "any changes that are required because of omissions on the bidder's part." [R 550]'

120. Raymond Ruddy testified on behalf of Respondent concerning the time allowed for Task 3. Mr. Ruddy is chairman of the board of directors of Maximus, Inc., and also serves as its president of state government services. His experience is primarily in the area of consulting with governmental entities with respect to the preparation of advanced planning documents and requests for proposal for human services computer-based information systems and monitoring of the contractor's performance in the design and implementation of such systems.

Recent such planning and monitoring projects included the Rhode Island AFDC and Food Stamp system transfer from Vermont.

121. Mr. Ruddy testified that the Vermont screens, files, and reports were reviewed and the changes documented, together with a detailed system design, in three weeks.

122. FLORIDA will be supporting Medicaid, CSE, and other programs not supported by the Rhode Island system. The Rhode Island activities performed in three weeks are not comparable to the scope of Task 3, during which Respondent intends to reconsider its earlier decision as to the suitability of the systems proposed for transfer and to train its project team.

123. However, Section 8.7.3 of the RFP requires that each proposal identify proposed transfer systems down to the screens, files, and reports. Section 8.7.4 requires that each proposal describe the FLORIDA system "in detail," including an explanation whether each function will be derived from transfer and, whether transfer and modification or development, a "detailed" description as to how the required work shall be done.

124. Task 3 can reasonably be completed in three months. The specificity required of the proposal as to system requirements will serve as a substantial base for the Change Definition Document.

E. Task 4

125. Task 4 is Detailed System Design. Section 6.4.4 of the RFP states that the contractor, using the Change Definition Document "as a point of departure," must define the automated system, including inputs, outputs, system interfaces, and internal computer architecture.

126. The RFP provides three months for the completion of Task 4, which starts at the beginning of the Fourth Month. As noted above, the first month of Task 4 overlaps the last month of Task 3. Also, the last month of Task 4 overlaps the first month of Tasks 5 and 8-10, and the last two months of Task 4 overlap the first two months of Task 6.

127. The deliverable of Task 4 is the Detailed Systems Design Document. The Detailed Systems Design Document, which must be created in accordance with STRADIS format, shall define system functions, data elements, edits, data flow processes, system logic, data bases and files, data structures and layouts, and screens and system interface processes. Section B of Chapter IX of the APD states that the design must contain "detailed mock-ups of all data input screens, retrieval screens, forms, reports, and interfaces." Section B also provides that the technical description contained within the Detailed Systems Design Document will serve as the "detailed blueprint from which . . . FLORIDA will be implemented."

128. Citing the general systems design required in the above-cited sections of the RFP, Ms. Morris testified that the Detailed Systems Design can be done in one month.

129. In view of the general design required to be set forth in the proposal, it would be unreasonable to require that the existing concurrency between Tasks 3 and 4 be eliminated, even though only three months are allotted to Task 3.

130. On the other hand, Respondent's original allocation of three months may not be reasonably reduced. Maximus, Inc. was instrumental in the preparation of the timeframes for the FLORIDA project. Top management of Respondent applied pressure for as expeditious a schedule as possible. Federal and state agencies have found the schedule to be ambitious. The reasonableness of Respondent's initial determination, corroborated by Mr. Reid's testimony, is not overturned by the testimony of Mr. Ruddy as to the Rhode Island system or Ms. Morris as to the effect of the design requirements that must be set forth in the proposal. Mr. Rudd and Ms. Morris were prominent members of the team responsible for establishing these timeframes, and their failure then to compress the time allotted to Task 4 is a weighty factor against compressing this time allotment now.

F. Task 5

131. Task 5 is Implementation and Conversion Plans. Section 6.4.5 of the RFP states that the contractor is to use its proposal plans as a basis from which to expand until Respondent approves the detailed plans required as deliverables in connection with Task 5.

132. The RFP provides one month for the completion of Task 5, which starts at the beginning of the Sixth Month. Task 5 runs concurrently with the last month of Task 4, the second month of Task 6, and the First Month of Tasks 8-10.

133. The three deliverables of Task 5 are the: 1) Detailed Implementation Plan; 2) Detailed Conversion Plan; and 3) Identification of Pilot Office at which the pilot office test, which is Task 12, will take place.

134. Implementation planning generally encompasses all phases of facility preparation, hardware and software installation, preparation of training materials, and training itself.

135. Conversion includes the transfer of the data from an existing system to FLORIDA. An automated conversion takes the data existing in the old automated systems, which are known as skeletal data, and, by converting the data elements into a different format, inserts them into FLORIDA, where they are available for use. A manual conversion requires a worker to intervene in the process to examine the data in the old system. A conversion may be partially automated when certain data fields are left blank at the time of the conversion and are to be manually completed later. A conversion may combine automated and manual features when a worker, prior to the automated conversion, adds data elements to the old system. In Section G.4 of Appendix G to the RFP, the contractor is informed that the preferred conversion is to automate the conversion of cases from the old systems to FLORIDA, followed by the eligibility worker or CSE worker entering the remaining required data.

136. One month is reasonable for Task 5. Mr. Reid testified that this time allotment was "very, very short" and that he would extend the duration of this task over 10 months past programming and closer to implementation. However, he also testified: "In fact, [Task 5] is relatively independent of the rest of the process." [R 200] Obviously, Mr. Reid prefers a less concentrated process with respect to implementation and conversion planning, but the absence of interdependency between Task 5 and later tasks allows the postponing and/or extending of this task to suit Mr. Reid without necessarily lengthening the overall schedule.

G. Task 6

137. Task 6 is Application Programming. Section 6.4.6 of the RFP states that this task involves the modification and/or development and testing of all system components according to the Detailed Systems Design Document, which is the deliverable during Task 4. The most important product of this task is the delivery of a thoroughly tested and fully documented working system. The system must be ready for Task 7, which is Acceptance Testing by Respondent.

138. The RFP provides four months for the completion of Task 6, which starts at the beginning of the Fifth Month. The first two months of Task 6 are concurrent with the last two months of Task 4 and the one month of Task 5. The last three months of Task 6 are concurrent with the one month of Task 7 and the three months of Tasks 8-10, all of which end at the end of the Eighth Month.

139. The three deliverables of Task 6 are: 1) the coded, documented, and contractor-tested FLORIDA system; 2) contractor certification that FLORIDA is ready for Acceptance Testing; and 3) an updated set of all documentation, including the Detailed Systems Design Document.

140. In the case of a transferred system, the time required for programming will be dependent upon the amount of code that needs to be changed. The amount of code that needs to be changed depends upon the number and magnitude of modifications required to the donor system(s). Not knowing the identity of the donor system(s), it is impossible to determine how long the programming will take in the case of a transfer. It is clear, however, that the amount of code reworking in the case of a transfer will be significant, among other reasons, to accommodate Florida's high caseloads.

141. Mr. Reid testified that Task 6 requires nine or even ten months. He testified that the only case of which he was aware in which the programming had been completed in four months was the Alaska transfer of AFDC and Food Stamps to North Dakota. This was a straight transfer in which North Dakota assumed Alaska's policies and procedures in these programs--something that Florida will not be doing. In all other cases, programming took considerably longer.

142. With each transfer, the process grows somewhat easier as the contractor community gains experience. Mr. Ruddy testified in favor of the current timeframe for Task 6, relying in part on his identification of systems that met the functional requirements of FLORIDA, but were not ideal candidates for transfer. He also testified that programming could start as early as the conclusion of Task 3 and, with respect to some items, at the beginning of the First Month.

143. Section 8.7.5 of the RFP supports Mr. Ruddy's testimony to some degree. This section provides that each offeror perform a system demonstration of the donor transfer system(s) as part of the evaluation process before Respondent selects a proposal. The contractor must perform a functional demonstration of the transfer system(s) in the proposed architecture.

144. In the case of Task 6, Respondent's requirement of two weeks to evaluate the deliverables is not applicable, at least as to the major deliverable, because Task 7 is devoted entirely to Acceptance Testing of the programed system that the contractor delivers during Task 6.

145. As Mr. Reid candidly testified, application development can be and typically is "started" before design is completed. [R 202] However, it is

unreasonable to expect that one half of the programming can be completed before Respondent has signed off on the design. Such a practice deviates from basic principles of not only structured methodology, but also of good programming.

146. Notwithstanding the strength of commitment of Respondent's top management, the quality of its professional staff, and the specificity required of all proposals, the time allotted to the completion of Task 6 must reasonably be increased by one month, and Task 6 must reasonably commence at the beginning of the Sixth Month, not the Fifth Month, so as to overlap Task 4 by only one month. Task 6 should therefore run from the Sixth Month through the Tenth Month.

H. Task 7

147. Task 7 is Acceptance Testing. Section 6.4.7 of the RFP requires that a select group of Respondent's central office and local office staff subject FLORIDA to comprehensive nesting under conditions designed to simulate actual usage.

148. The RFP provides one month for the completion of Task 7, which, in the RFP, starts at the beginning of the Eighth Month and runs concurrently with the last month of Tasks 6 and 8-10 and the First Month of Task 11.

149. The two deliverables of Task 7 are: 1) a report identifying the contractor's resolution of problems discovered during testing aid 2) state acceptance of FLORIDA.

150. Mr. Reid testified that one month is too short and that three months is standard for this task. Ms. Morris testified that the state merely repeats the contractor's testing in the prior task so Task 7 can easily be completed within one month.

151. One month is reasonable. Although the contractor is responsible during Task 7 to document and effect necessary corrections as a result of Acceptance Testing, this task is different from the preceding tasks insofar as the primary activities are those of Respondent, not the contractor. The contractor is not liable for any deficiencies in performance outside of its control.

152. However, the concurrency of Tasks 6 and , is unreasonable. The final deliverable of Task 6 will be the coded program certified as ready for Acceptance Testing. Delivery will likely take place at the end of Task 6. Task 7 cannot begin before the end of Task 6. Task 7 must therefore start at the beginning of the Eleventh Month.

I. Tasks 8-14

153. Tasks 8-14 are, respectively, Plan and Prepare Central Facility, Design Telecommunications Network, Prepare for Pilot District Production Processing, Train Headquarters and Pilot Staff, Conduct office Pilot Test, Install Central Processing Facility and Pilot District Equipment, and Conduct District Pilot Test.

154. In the RFP, Tasks 8-10 are coterminus with Tasks 6 and 7, the first month of Task 11 overlaps the last month of Tasks 6-10, Task 12 begins after all prior tasks have ended, Task 13 takes place in the middle of Task 12, and the first two months of Task 14 overlap the last two months of Task 12.

155. Mr. Reid testified that the time allotted to Task 10 should be extended two or three weeks to give the contractor time to review the results of Acceptance Testing and concur that FLORIDA is ready for pilot testing.

156. Ms. Morris testified that, although the contractor could not load the software prior to completion of Acceptance Testing, it could perform other activities included within Task 10, such as the installation of hardware.

157. The results of the Acceptance Testing should not cause any delay to the contractor. There should be an ongoing process throughout Task 7 during which problems are identified and solutions documented and effected; the results should not be entirely left to the end of the task. Also, with Task 7 now being completed at the end of the Eleventh Month, the subsequent tasks must reasonably be moved back accordingly. The contractor should reasonably be able to perform Task 10 by the end of the Eleventh Month, notwithstanding the fact that Tasks 7 and 10 remain coterminous.

158. It is necessary to postpone Tasks 8-14 by three months in order to preserve the already-compressed sequencing incorporated into the original 26-month timeline. The three months added by extending Task 6 by one month, postponing Task 6 by another month, and deferring the beginning of Task 7 until the end of Task 6 cannot reasonably be absorbed by imposing greater concurrence in Tasks 8-14. Acceptance testing constitutes a critical milestone. Tasks 8-10 cannot be completed before the end of Acceptance Testing. Not more than one month of Task 11 may overlap Acceptance Testing. The remaining tasks are sequenced as tightly as possible, especially given Respondent's assumption that the unprecedented federal testing and approval, which must be completed before Task 15 starts, is given only one month and is scheduled to end at the beginning of Task 15.

J. Task 15

159. Task 15 is Implement FLORIDA Statewide. Section 6.4.15 of the RFP states that the contractor must execute the implementation and conversion plans for each district. This section states: "Staff training, conversion, testing, and creation of the systems environment remain the responsibility of the contractor."

160. The RFP provides ten months for the completion of Task 15, which, in the RFP, starts at the beginning of the Seventeenth Month, runs concurrently with the last month of Task 14, and ends at the end of the Twenty-Sixth Month. As modified above, Task 15 now starts at the beginning of the Twentieth Month, runs concurrently with the last month of Task 14, and ends at the end of the Twenty-Ninth Month.

161. The two deliverables of Task 15 are: 1) certification, by district, that conversion and implementation have been completed successfully and 2) certification that FLORIDA is complete and operations may begin.

162. Ten months is adequate for the training of Respondent's workers. There is a direct relationship between the amount of funds expended on training and the speed with which training may be accomplished. Although cost plays an important role in the evaluation of any proposal, all offerors are obviously subject to the same cost and time constraints. The only relative cost advantages should go to the innovative offerors, such as those successfully employing user-friendly automated training devices. Further, there is no reason

why draining and conversion cannot proceed simultaneously. In fact, Section 3 of Appendix G to the RFP sensibly requires that the beginning of worker training precede by no more than 20 days the conversion of the district in which the worker is located.

163. Exhibit G-3 of the RFP depicts the conversion schedule by district. The exhibit shows automated conversion for each district occurring in the first month in which that district is scheduled for any conversion activity. In each district, "ongoing conversion by HRS staff" follows the initial month of automated conversion. It is unclear from the chart whether the ongoing conversion ends, in the RFP, at the end of the 26th month, which is the last month shown on the chart, or continues into the future. It is clear that, in any event, all data must be entered in FLORIDA by the time of Task 17, Federal Certification, which begins, in the RFP, at the beginning to the 30th month.

164. As discussed in Paragraph 135 above, conversion will involve a mixture of automated and manual conversion. The prime determinant as to the extent of possible automation in a conversion is the status of the data in the old systems. Section A of Chapter IX of the APD states that the public assistance systems "will require a manual conversion due to the lack of automated data present on the current systems." The same section indicates that the CSE conversion can be automated.

165. The contractor bears the responsibility for the automated conversion. The APD and RFP are not clear as to the extent of the contractor's responsibilities with respect to manual conversion. Section A of Chapter IX of the APD states that the preferred conversion approach involves Respondent and the contractor. "The approach is to utilize the [eligibility] workers to gather data required for input into FLORIDA in pre- printed conversion forms, and to utilize the [contractor's] personnel to key enter the data into . . . FLORIDA . . ." However, the above-cited portion of Section G.4 of Schedule G of the RFP overrides the earlier APD provision and assigns the post-automated conversion work to Respondent's eligibility workers.

166. Sections 7.34.3 B. and 9.14 C. 2 of the RFP provide that the contractor will be paid for all non-Central Processing Facility hardware and software "upon completion of the first month of non-automated conversion effort for each district." Non-automated conversion means that the eligibility worker has been trained and is able to conduct full interviews based on new and-converted data.

167. Ms. Morris testified that Sections 7 and 9 of the RFP provide that conversion is complete following the end of automated conversion plus the first month of non-automated conversion. However, these sections only provide for time of payment and do not indicate that the task has been completed. In any event, Ms. Morris and Mr. Ruddy testified unequivocally that the data-collection process following the automatic conversion of the skeletal data is not required to be completed by the end of Task 15. [R 588 and 649, respectively]

168. Ten months is reasonable for Task 15 if conversion is complete when the contractor finishes the automated conversion of data from the old system to FLORIDA.

169. Ten months is unreasonable if conversion is not complete until Respondent collects the new data that is more detailed than the skeletal data and the contractor or Respondent keys the new data into FLORIDA. At the time of conversion in mid-1990, Respondent will be administering between 550,000 and

600,000 public assistance cases and nearly 900,000 CSE cases. The total caseload requiring conversion may approach 1.5 million cases. Arizona converted 8,000 cases per month, and South Carolina, which is presently underway, plans to convert 15,000 cases per month. It is unreasonable to assume that, for some unexplained reason, Florida could convert monthly 55,000-60,000 public assistance cases plus nearly 90,000 CSE cases. If Respondent were to insist that all manual conversion and manual entry be completed prior to the completion of Task 15, then conversion could not be completed before the beginning of Federal Certification, which starts at the beginning of the Thirtieth Month, under the RFP.

170. The question whether Federal Certification must reasonably be postponed, due to the above-described adjustments or the extremely high conversion caseload, is outside the scope of the pleadings.

CONCLUSIONS OF LAW

171. The Division of Administrative Hearings has jurisdiction over the subject matter and the parties. Section 120.53(5), Florida Statutes.

172. Petitioner is adversely affected by the RFP and, thus, has standing to challenge the provisions discussed above.

173. Petitioner timely filed the necessary protests under Section 120.53(5).

174. In accordance with Section 2.1.21 of the RFP existing law, the standards by which the challenged RFP provisions are to be judged are reasonableness, necessity, and competitiveness. The hearing in this case is de novo and is designed to give Petitioner an opportunity to change Respondent's mind. As such, the proper standards, at a Section 120.57(1) hearing, by which to judge the challenged RFP provisions are set forth in the RFP and are not whether the provisions are arbitrary and capricious. See, e.g., Capeletti Brothers, Inc. v. Department of General Services, 432 So.2d 1359 (Fla. 1st DCA 1983); Florida Department of Transportation v. J. W. C. Co., Inc., 396 So.2d 778 (Fla. 1st DCA 1981).

175. The burden of proof falls upon Petitioner to show by a preponderance of the evidence that the challenged provisions of the RFP are not reasonable, necessary, or competitive. Florida Department of Transportation v. J. W. C. Co., Inc., 396 So.2d 778 (Fla. 1st DCA 1981).

176. For the reasons set forth above, Petitioner has failed to show that the prohibition against the use of the A-15 is unreasonable, unnecessary, or uncompetitive.

177. For the reasons set forth above, Petitioner has shown that the 26-month timeframe allotted to the contractor to perform Tasks 1-15 is unreasonable and that three months must reasonably be added for these tasks. Although critical assumptions underlie the feasibility of even this extended schedule, Petitioner has failed to prove that these assumptions are themselves unreasonable.

178. There is no reason to address the time allotted to specific tasks, except insofar as such matters affected the recalculation of the total time reasonably required to complete Tasks 1-15. The RFP clearly provides that the

contractor may change the time allotted to these tasks in its proposal, as long as they take place within 26 months after the signing of the contract.

179. The final issue is to what extent, if any, the deadline for proposals should be extended in light of this proceeding. As applicable to this case, Section 120.53(5)(c), Florida Statutes, requires that the agency "stop the bid solicitation process or the contract award process until the subject of the protest is resolved by final agency action." Respondent has done so. The question presented is at what point, after final action by Respondent, the process should resume. If the final order were issued, for example, on August 15, the issue is whether offerors should be required to submit proposals one week later or on October 31, which is calculated by adding to the original due date of August 22 the 70 days intervening between June 6 and August 15.

180. In the absence of any action by Respondent, each of the events in Section 2.1.1 of the RFP will have the same number of days added to it as have elapsed between June 6, 1988, and the date of the Final Order in this case. However, giving due consideration to the fact that the only changes to the RFP inure to the benefit of all offerors and do not require major revisions to any proposal, Respondent may amend the deadlines in Section 2.1.1 in order to require earlier due dates for the events falling after June 6, 1988, including the deadline for the receipt of proposals.

RECOMMENDATION

Based on the foregoing, it is hereby

RECOMMENDED that a Final Order be entered amending the Request for Proposal 88-74-BC to allow 29 months between the date that the contract is signed and the completion of implementation and conversion and to clarify that the contractor completes its conversion responsibilities under Task 15 when the fully automated conversion process has been completed, notwithstanding that manual conversion and data entry are still being performed by Respondent.

ENTERED this 4th day of August, 1988, in Tallahassee, Florida.

ROBERT E. MEALE
Hearing Officer
Division of Administrative Hearings
The Oakland Building
2009 Apalachee Parkway
Tallahassee, Florida 32399-1550
(904) 488-9675

Filed with the Clerk of the
Division of Administrative Hearings
this 4th day of August, 1988.

APPENDIX TO RECOMMENDED ORDER, CASE NO. 88-2942BID

Treatment Accorded Petitioner's Proposed Findings of Fact

1. Adopted.
2. Adopted, except second sentence rejected as subordinate.
- 3-7. Adopted, except last sentence of paragraph 7 rejected as subordinate.
8. Adopted in substance as to the ambitious nature of the 26-month schedule. Rejected as recitation of testimony with respect to Mr. Reid's opinion and reason therefor. These items were considered in rendering findings of fact.
- 9-10. Adopted, except that the only problem with respect to the distributed system concerns its novelty and the added time thus required to transfer and modify such a system.
- 11-16, 18, 20. Rejected as recitation of testimony and subordinate.
- 17,19. Adopted.
- 20-25. Partially adopted and partially rejected as contrary to the greater weight of the evidence. As set forth in the findings of fact, Respondent's "specificity-in-proposal" testimony was well-taken as to certain tasks, but not others.
- 31-32. Adopted insofar as Section 7.6 of the RFP prevents a premature assembling of the project team. To some extent, the Section 7.6 prohibition is inconsistent with the specificity--in-proposal requirements of Chapter VIII of the RFP. To the extent that the latter have been found to govern, these proposed findings must be rejected as recitation of evidence and contrary to the greater weight of the evidence.
Adopted with respect to the testimony of Respondent's witnesses concerning the completion of conversion under Task 15 and the failure of the RFP to state clearly the same point. Confusion exists concerning the term, "conversion." Based on the clarifying testimony of Respondent's witnesses, "conversion" in Task 15 means "automated conversion," and excludes manual conversion and manual entry. It is consequently recommended that the RFP be amended to clarify this point. The remainder of this proposed finding is rejected as contrary to the greater weight of the evidence. Under Section 7.37, the contractor 15 not liable for certain costs to the state arising out of causes beyond the control of the contractor. Incompetent manual conversion or manual entry by Respondent would appear to fit that description.
34. Rejected as legal argument.
- 35-39. Rejected as recitation of testimony and, to the extent adopted in the findings of fact, subordinate.
40. Adopted in substance.
41. First sentence adopted in substance. Remainder rejected as legal argument, recitation of testimony,

- and, as to the manual element involved in conversion, irrelevant based on the above-described interpretation of "conversion" as used in Task 15.
- 42-43. See paragraph 33 above. 44. Adopted as to the conversion of 8,000 and 15,000 per month. Remainder rejected as recitation of testimony. 45-46. Rejected as recitation of testimony and subordinate. 47-48. Adopted, except that the A-15 has been, to some extent, superseded by the A-17.
- 49-52. Rejected as rejected of testimony and subordinate.
53. Adopted.
- 54-55. Rejected as recitation of testimony.
56. Rejected as recitation of testimony and subordinate. 57. Rejected as legal argument.
58. Rejected as contrary to the greater weight of the evidence.

Treatment Accorded Respondent's Proposed Findings of Fact

- 1-16. Adopted.
17. Rejected as subordinate and contrary to the weight of the evidence. Mr. Leo testified that his review was from a management, not technical, perspective.
18. Rejected as subordinate.
19. Adopted in substance.
20. Rejected as subordinate.
- 21-22. Adopted in substance.
23. Rejected as subordinate.
24. Adopted in substance.
25. Rejected as subordinate.
- 26-27. Adopted in substance.
- 28-29. Rejected as subordinate.
30. Adopted.
31. Rejected as legal argument.
32. Rejected as irrelevant.
33. Rejected as not finding of fact.
- 34-38. Adopted.
- 39-43. Adopted.
44. Rejected as subordinate.
- 45-46. Rejected as subordinate and legal argument.
47. Adopted.
- 48-49. Rejected as irrelevant.
50. First and-second sentences adopted. Third sentence rejected as legal argument.
51. Rejected as contrary to the greater weight of the evidence.
52. Rejected as vague.
53. Adopted.
54. Rejected as recitation of testimony.
55. Adopted in substance, except that no witness identified a specific donor system or systems.
56. Adopted.
57. Although true, rejected for the omission of the fact that such a transfer necessitates time-consuming major modifications.
58. Rejected as contrary to the greater weight of the evidence. The testimony of Mr. Ruddy cited in support

of this finding does not identify systems that can be transferred to Florida without major modifications. To the contrary, Mr. Ruddy acknowledged that Vermont would require at least one "major change" because it is a centralized system (R 677), Kansas was centralized (R 665) , and South Carolina he was not sure of (R 667).

[South Carolina is centralized. (R 847)] Moreover, another major modification of the systems in these states would be needed to accommodate Florida's higher caseloads and unique functionalities with respect to management control. (R 160-61, 170, 675, 679)

Much more significant is Mr. Ruddy's candid admission that Maximus, Inc. made no attempt to study the systems available for transfer and to determine how much of the programming code would have to be rewritten to modify the system(s) for FLORIDA. Moreover, Ms. Hardy is aware of no state that has implemented as comprehensive a system as FLORIDA within 26 months (R 362).

- 59, 62-63. Rejected as irrelevant. Without a sufficient predicate in terms of caseload, extra program functionalities, type of architecture, percentage of programming code changed, on-line access versus nightly batch updating, and other factors, it is improper to draw any inferences from the time that other states have taken to implement systems.
- 60-61. Rejected as contrary to the greater weight of the evidence.
- 64-66. First sentence adopted. Second sentence rejected as irrelevant. See paragraphs 59, 62-63.
- 67-70. Rejected as subordinate, except that the last sentences of paragraphs 68 and 70 are rejected as legal argument.
71. First sentence rejected as irrelevant and recitation of testimony. Second sentence adopted.
72. Adopted In substance.
- 73-75. Rejected as ultimately irrelevant to the question whether the contractor can perform its tasks within the allotted time.
76. Adopted to the extent that automated conversion expedites conversion.
- 77-78. Rejected as irrelevant. After a certain point, the so-called "carrot and stick" approach, which obviously eliminates procrastination, serves no useful purpose insofar as it cannot enable the contractor to do the impossible. To the contrary, after that point, such an approach raises the likelihood of litigation by raising the recoverable damages against the backdrop of a very tight schedule on a very complex project.
79. First sentence rejected as contrary to the greater weight of the evidence. Remainder rejected as subordinate.
80. Rejected as contrary to the greater weight of the evidence. The late addition of STRADIS will assist Respondent in systems maintenance and the federal agencies in subsequent systems transfers, but

clearly at the cost of time to the FLORIDA contractor.' The loss of time is exacerbated by the poor correspondence of tasks and deliverables between the RFP and STRADIS.

- 81. Adopted.
- 82. Rejected as contrary to the greater weight of the evidence. Strictly speaking, STRADIS can be used to transfer systems, but its orientation toward design contributed to the poor correspondence of tasks and deliverables between the RFP and STRADIS.
- 83. Rejected as contrary to all of the evidence. The portions of the record cited offer no support for the proposed finding. To the contrary, Mr. Wills clearly testified that STRADIS "greatly increases the time frame." (R 780)
- 84. Rejected as subordinate.
- 85. Rejected as irrelevant.
- 86. Rejected as contrary to the greater weight of the evidence.
- 87-88. Rejected as legal argument. See also Paragraphs 26-30 in Treatment Accorded Petitioner's Proposed Findings of Fact.
- 89-90. Rejected as contrary to the greater weight of the evidence, except that the last two sentences of paragraph 90 are rejected. See paragraphs 87-88.
- 91. Rejected as contrary to all of the evidence. The RFP provides five weeks and two days for federal and state approvals. Task 1 requires the assembling, not organizing, of the project team.
- 92. Rejected as contrary to the greater weight of the evidence. The two weeks allotted to the contractor to sign the contract has, in effect, been ignored in the procurement timetable. If the federal agencies need 45 days and there are only 37 days, including holidays, between the anticipated dates on which the contractor is selected and the contract will be signed, the 14 days "provided" the contractor for signing are illusory.
- 93-94. Adopted.
- 95. Rejected as contrary to the greater weight of the evidence.
- 96. Adopted in substance.
- 97. Rejected as subordinate.
- 98. First sentence adopted. Remainder rejected as contrary to the greater weight of the evidence.
- 99. Rejected as irrelevant. In the case of Task 2, the approach to the task is not the task.
- 100. First sentence rejected as subordinate. Second sentence is adopted.
- 101. Rejected as subordinate.
- 102. Adopted.
- 103. First sentence adopted in substance. Second sentence rejected as contrary to the greater weight of the evidence.
- 104-105. Rejected as contrary to the greater weight of the evidence, except that first two sentences of paragraph 105 is adopted.

- 106-109. Rejected as contrary to the greater weight of the evidence, except that second sentence of paragraph 109 is adopted.
110. Adopted in substance.
111. Rejected as contrary to the greater weight of the evidence and legal argument.
- 112-113. Adopted.
114. Rejected as contrary to the greater weight of the evidence.
- 115-117. Rejected as irrelevant due to the lack of a sufficient predicate.
118. Rejected as cumulative.
119. First sentence rejected as recitation of testimony. Second sentence rejected as contrary to the greater weight of the evidence and legal argument.
120. First sentence rejected as vague insofar as "a significant amount" has not been nor could be, on the basis of the record, sufficiently defined so as to make a determination as to how much work remains. Obviously, no one can suggest seriously that Respondent will be inspecting multiple FLORIDA's at the system demonstration event, or else the 26 months would have been shortened even more. Remainder rejected as legal argument.
- 121,125. Rejected as contrary to the greater weight of the evidence.
122. Rejected as recitation of the evidence. See paragraph 120.
123. Adopted.
124. Last sentence rejected as contrary to the greater weight of the evidence. Remainder adopted.
126. Adopted.
- 127-129, 131. Rejected as unnecessary.
132. Rejected as contrary to the greater weight of the evidence.
133. First sentence adopted. Second sentence rejected as contrary to the greater weight of the evidence. Mr. Wills' first-cited testimony did not attempt to quantify the amount of reprogramming required to modify a previously identified donor system; rather, his testimony concerned the duplication of work necessitated' by STRADIS when up to 80 percent of a donor system's programs and documentation are eligible for transfer. He did not address the amount of modification necessary to the programs after transfer. Mr. Ruddy's testimony concerning the suitability of the system demonstrated by Systemhouse in New Orleans in the Fall of 1987 is outweighed by the testimony of the Systemhouse employees regarding the lack of such a system. As to Mr. Ruddy's testimony, see Paragraph 58.
134. Rejected as contrary to the greater weight of the evidence.
135. First sentence adopted. Second sentence, insofar as it suggests Task 6 can begin earlier than the beginning of the last month of Task 5, rejected as contrary to the greater weight of the evidence.

- 136. Adopted.
- 137. First sentence adopted. Remainder rejected as contrary to the greater weight of the evidence.
- 138. Adopted, except for "easily."
- 139. Adopted in substance.
- 140. Adopted.
- 141. Rejected as unnecessary.
- 142. Rejected as contrary to the greater weight of the evidence.
- 143-144. Adopted in substance.
- 145. Adopted, subject to the recommended clarification concerning when conversion by the contractor is finished under Task 15.
- 146. Rejected as irrelevant. There is nothing in the record to warrant the assumption that the 15,000 cases per month conversion rate anticipated in South Carolina could be increased 133,333 times to 2,000,000 cases per month.
- 147-148. Adopted in substance.
- 149. Adopted. See paragraph 145.
- 150-154,156. Rejected as unnecessary.
- 155. Adopted in substance, except that the training task to which this proposed finding is evidently directed is subject to obvious technological and cost limitations.
- 156-176. Rejected as cumulative and unnecessary.
- 177-182,184. Rejected as irrelevant, except that the second sentence of paragraph 181 and first sentence of paragraph 182 are adopted.
- 183-185. Adopted.
- 186-188. Rejected as legal argument.
- 189-190,195. Adopted.
- 191. Adopted in substance.
- 192. Rejected as subordinate.
- 193-194,196. Adopted in substance.
- 197, 202. Rejected as unnecessary.
- 198. Adopted.
- 199. Rejected as irrelevant.
- 200-201. Adopted in substance.
- 203-204. Rejected as legal argument.
- 205-206. Adopted.
- 207,209-210. Adopted in substance.
- 208. Adopted.
- 211. Adopted in substance.
- 212. Rejected as cumulative and irrelevant insofar as the competitiveness of the RFP is analyzed from the point of view of a single offeror rather than all prospective offerors.
- 213. Adopted.
- 214. Rejected as cumulative.
- 215. Adopted in substance.
- 216. Rejected as legal argument.

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